

MARKET ANALYSIS

AI Trio's \$4.4 Trillion EM Grip Exposes a Concentration Risk CRE Knows Well

Three stocks dominate emerging-market returns, forcing capital to ask: is this liquidity or a single-point-of-failure?

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A source-grounded Light Tower Insight.

Three technology stocks worth \$4.4 trillion now drive an outsized share of emerging-market equity returns. Institutional investors are rotating beyond the AI winners, according to Bloomberg. The headline is about public equity concentration. The capital-markets lesson is about something CRE owners and lenders have spent the last three years learning the hard way: when liquidity concentrates in a narrow set of names, the rest of the market does not just underperform. It stops pricing efficiently.

The reported fact is simple. A trio of AI-related stocks accounts for a disproportionate share of emerging-market index performance. Funds are fretting because their benchmark returns depend on three names. If those names stumble, the entire EM equity thesis takes a hit. The market is now asking whether the AI trade is a durable structural shift or a crowded momentum bet.

For commercial real estate capital markets, this pattern is not abstract. It is the same mechanism that produced the office distress cycle. From 2021 through early 2023, institutional capital concentrated in a narrow set of trophy office assets, gateway-city towers, and life-science conversions. Liquidity was abundant for those names. Everything else in the office sector saw bid-ask spreads widen, transaction volumes collapse, and pricing become untestable. The market did not gradually reprice. It bifurcated. One set of assets traded. The rest sat.

The EM AI trio is not office. But the capital-stack dynamic is structurally identical. A small number of high-conviction positions absorb the majority of available liquidity. Index funds and active managers alike are forced to hold them to track benchmarks or generate returns. The rest of the opportunity set becomes orphaned capital: fundamentally sound but unable to attract a bid because the market's attention and risk appetite are consumed elsewhere.

This is not a prediction that the AI stocks will fall. It is an observation about what happens to pricing and liquidity in the shadow of extreme concentration. In CRE, the office sector's

bifurcation did not require a crash in trophy values. It required only that capital stopped underwriting the middle. The same logic applies in EM equities. If the AI trio represents 30, 40, or 50 percent of index returns, then every other EM company is competing for the residual attention of a market that has already decided where it wants to be.

The practical implication for CRE owners and lenders is not about whether to buy or sell AI stocks. It is about recognizing that concentration risk is not a public-equity problem. It is a capital-markets structure problem. When liquidity pools in a narrow set of assets, the rest of the market experiences a de facto tightening of financial conditions regardless of what the Fed does with rates. The cost of capital rises for assets outside the favored cohort. The bid disappears. Owners who need to transact must accept a discount that has nothing to do with their asset's fundamental cash flow.

This is exactly what happened in office. A building with 85 percent occupancy and a strong tenant roster could not find financing because the market had decided that office was a distressed sector. The asset's individual merit was irrelevant. The category was out of favor. The same dynamic is now visible in EM equities, where a company with solid earnings growth and a reasonable valuation may still trade at a discount because it is not one of the three AI names.

The question for CRE capital markets professionals is straightforward. If you are underwriting an asset in a sector that is not currently in favor, how much of your pricing discount is driven by the asset's fundamentals and how much is driven by the market's concentration of attention elsewhere? The answer determines whether you are buying a discount or catching a falling knife.

The EM AI trio story is a reminder that liquidity is not evenly distributed. It flows to the names that have recently delivered returns, and it stays there until something breaks the pattern. For CRE, the pattern broke when rates rose and office leasing slowed. For EM equities, the pattern may break when AI earnings decelerate, regulation tightens, or a geopolitical event reshuffles the risk map. Until then, the rest of the market operates in the shadow of three

My read is that the smartest capital in both public and private markets is not chasing the concentrated winners. It is building portfolios that can survive a regime shift. That means owning assets with pricing power, low leverage, and cash flow that does not depend on the AI trio continuing to outperform. It means underwriting to a base case where liquidity is not guaranteed. And it means recognizing that the next dislocation may not come from a macro shock. It may come from the unwinding of a concentration that everyone saw but no one could afford to avoid.